SET-OFF + CARRY

FORWARD OF LOSSES

use the loss before you lose it!

Direct Tax Laws and International Taxation

IN SIMPLE WORDS *First adjust a loss against income of the same year; the balance goes to future years, within limits.*

(1) INTRA-HEAD AND INTER-HEAD SET-OFF

Intra-head (s.70): loss from one source against income from another source of the same head. Inter-head (s.71): loss under one head against income of another head.

Order: same head, other heads, then carry forward

(2) SAME-KIND-ONLY LOSSES

These losses are set off only against specified income: speculative (s.73), s.35AD (s.73A), LTCL (s.70(3)), race horse (s.74A).

No set-off vs s.58(4) winnings, s.115BBE income; VDA loss (s.115BBH) none

1. Order: intra-head set-off first, then inter-head, then carry forward of the balance
2. Unabsorbed depreciation: no time limit; set off against any head except Salaries (s.32(2))
3. Carry forward needs return filed by due date u/s 139(1) (s.80); not for HP loss and unabsorbed depreciation
4. Speculative, s.35AD, LTCL and race horse losses: set off only against the same kind of income



Swipe for the summary →

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Loss Rules at a Glance

learn the table, win the MCQ

Set-off and Carry Forward of Losses

Loss	Set-off against	Carry forward
House property	Other heads, capped (s.71(3A))	8 yrs, HP income only (s.71B)
Non-spec. business	Any head except Salaries	8 yrs, business income (s.72)
Speculative business	Speculative profit only	4 yrs, speculative profit (s.73)
Capital loss	STCL: any CG; LTCL: LTCG only	8 yrs, same rule (s.74)
Race horse	Race horse income only	4 yrs, same income (s.74A)

SAME LOSS, DIFFERENT HOMES! Each loss has its own set-off field and time limit; under s.115BAC, HP loss gets no inter-head set-off or carry forward.

Swipe for a memory trick →

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STUDY TRICK

Set-off and Carry Forward of Losses

bets are short-lived

BETS GET 4, THE REST GET 8

Speculation and race horses are bets: 4 years. HP, business and capital losses: 8 years. Unabsorbed depreciation and s.35AD loss: no limit.

HOW TO ATTEMPT IT

1 Set off within the same head → 2 Then set off against other heads →

3 Check Salaries and same-kind bars → 4 Carry forward balance by its limit

→ 5 Check return filed by due date

EXAM TIP

In any loss question, check the regime, the head and whether the return was filed on time before you set off or carry forward.

DOUBT BUSTER

Can unabsorbed depreciation be set off against salary? No. Under s.32(2) it is added to next year's depreciation and acts like business loss, so s.71(2A) bars Salaries. It carries forward without time limit.

Swipe for common mistakes →

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COMMON MISTAKES

Set-off and Carry Forward of Losses

small slips, big marks lost

✗ Business loss can be set off against salary income

✓ Non-speculative business loss can be set off against other heads except Salaries (s.71(2A)).

✗ HP loss under s.115BAC is carried forward for 8 years

✓ Under s.115BAC, HP loss gets no inter-head set-off and no carry forward.

✗ Business or capital loss carries forward even if the return is late

✓ Return by due date u/s 139(1) is needed (s.80); HP loss and unabsorbed depreciation are exceptions.

✗ LTCL can be set off against short-term capital gain

✓ LTCL is set off only against LTCG (s.70(3)); STCL can be set off against STCG or LTCG.

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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